

WDAY pitch deck

PITCH — WDAY — VERDICT

ADJUDICATED 2026-08-07 — DECLINE at \$172.98. No position, no order. Reopen only on a price of \$139–155 (re-derive entry) or on the 08-27 earnings report clearing all three replacement gates.

*Written 2026-08-21. Stock is \$198.40 today (IBKR), which is +14.7% **above where we declined**. That cost is stated up front and again below; it is not buried.*

What we believe

Workday sells HR and finance software priced substantially by **how many employees its customers have**. The company says so itself: subscription revenue “is driven primarily by the number of customers, **the number of workers at each customer**, the specific applications subscribed to by each customer, and the price of our applications” ([FY26 10-K](#)). Subscriptions are 92% of revenue. That makes it the most direct way to be long or short “how many white-collar workers exist.”

We believe three things, in order of confidence:

- 1. Customers are signing shorter contracts.** Money booked for delivery beyond the next twelve months has grown more slowly every single quarter for eleven straight quarters — from +35.7% to **+8.8%**. Money booked beyond *twenty-four* months has gone from +48.6% (peak, July 2023) to **+5.2%**. Not one reversal in either series. Meanwhile the near-term book (next twelve months) has grown at a steady 15.5–17.6% the whole time. So the entire slowdown is contract *length*, not contract *volume*.
- 2. This is a confidence problem, not yet a headcount problem.** A customer who renews for two years instead of three, at the same annual price, produces identical revenue and an identical near-term book. Revenue only breaks if they don’t renew — and 97% of revenue does renew. The average contract went from about 3.28 years to about 3.10 years. That is roughly **two months** off a three-year deal.
- 3. The stock is expensive once you charge stock compensation as a real cost.** This is the finding that actually decided the case, and it came from the team that was *defending* the stock. Charged properly, Workday trades around **30.5x** against comparable software companies at **12.8–16.5x** — roughly double. Nothing in the growth numbers justifies double.

Conclusion: a real but modest and slow-moving negative, attached to a price that leaves no room for it. We pass.

What the market believes

The market believes the drawdown already happened. The stock fell about 56% peak-to-trough and is still 20.6% below its 52-week high — but it is also **79.8% above its 52-week low of \$110.36**, and it has risen 14.7% in the two weeks since we declined. That is a market that has decided the worst-case “AI eliminates the seats” story is not happening, and is paying for margin expansion instead: management raised the FY27 non-GAAP operating margin target to 30.5% and reaffirmed subscription revenue of \$9.925–9.950B (+12–13%) ([Q1 FY27 results release](#)).

The market is not wrong about the timing. Revenue has not broken. Subscription growth bottomed at 13.4% in Q1 FY26 and printed 14.3% in Q1 FY27 — it went *up*, not down.

Why we might have edge

- **The eleven-quarter monotonic series is not a thing most people compute.** The beyond-twelve-month figure isn’t published; you get it by subtracting the twelve-month book from the total. The beyond-twenty-four-month figure requires going into the revenue-recognition footnote of the 10-Q, not the press release. Almost no one carries both series back seventeen quarters. We do, and it shows a decay with zero reversals — which is unusual enough that it is unlikely to be renewal-cycle noise.
- **The single retention number Workday publishes cannot detect the thing we care about.** Workday’s “gross revenue retention rate” (97%, down from 98%) explicitly “does not account for additional revenue earned from add-ons or net expansions, **which include volume and price adjustments.**” Volume = worker count. A customer who renews with 20% fewer employees still scores ~100% on that metric. So the headline retention number is structurally blind to seat shrinkage. That’s a real analytical limitation — though, as noted below, Workday discloses the limitation itself, which is the opposite of hiding it.
- **Stock compensation is running around 19–21% of revenue and the market quotes the stock on numbers that exclude it.** From the audited filings: \$459M of stock comp in the April-2025 quarter against \$2.240B of revenue = **20.5%**; a year earlier, \$385M against \$1.990B = **19.3%**. It is rising, not falling. Any “13–15x cash flow” framing that ignores this is not measuring the business.

Why it might be priced in

We have to be blunt here, because this is the stronger side.

- **The timing kills the story we started with.** We came at this as “AI agents are displacing seats, and it’s arriving now.” The contract-length decay turned in **July 2023** — about two years before “agentic” entered the conversation. And Workday named the seat problem out loud in **May 2024**: “Our updated subscription revenue guidance reflects the elevated sales scrutiny and **lower customer headcount growth** we experienced during the quarter” ([Q1 FY25 release, 2024-05-23](#)). That is a 27-month-old, company-disclosed fact. The market has had eleven quarters and a 56% decline to absorb it. It is not our discovery.

- **The seat base is still growing.** Users under contract: 65 million (FY24) → 70M (FY25) → 75M (FY26) → **80M+ (Q1 FY27)**. Coarse, rounded to the nearest 5 million, but it is going the wrong way for the bear case and Workday volunteers it every quarter.
- **The company disclosed the deterioration in the same filings we accused it of hiding it in.** The FY25 10-K added a sentence naming “reduced growth in headcount level commitments upon renewals of existing customers” — absent from FY23 and FY24. It also added a breakdown (60% of revenue growth from existing customers, 40% from new) from which you can back into a net expansion rate of roughly **108%**. A company running a concealment operation does not add those.
- **Backlog coverage of revenue is unchanged.** Total book divided by trailing revenue: 3.00x (Apr-2024), 3.09x (Apr-2025), **2.99x (Apr-2026)**. Statistically identical to two years ago. The 19% growth quarter was the anomaly, not the baseline.
- **The stock is up 14.7% since we declined.** So far, the decline is losing.

What we checked ourselves

Both review teams worked from the same evidence pack. One argued against buying; the second was tasked with attacking the first. Both made errors. Both are listed.

Claim	How checked	Found	Confirmed?
The next earnings date	First team searched EDGAR 8-K filings, found none, estimated Thu 2026-08-20 and called the date unverifiable	Wrong. Workday doesn't file an 8-K for earnings-date notices. The date was announced on the company newsroom on 2026-08-03: results after market close Thursday 2026-08-27 (newsroom.workday.com)	OUR ERROR. Searching only EDGAR made this structurally undetectable. The first team also “corrected” an earlier estimate of 08-27 to 08-20 — i.e. moved a right answer to a wrong one. Its sizing argument rested on “unscheduled binary event 13 days out”; the event was scheduled and 20 days out
“Workday retired the 24-month backlog disclosure to hide long-duration decay”	Second team re-fetched the filings and searched the un-hyphenated wording	Wrong — and it was a text-search artifact. The first team searched 24-month; the filings say “over the next 12 and 24 months .” The figure is disclosed in every filing: \$13.6B (FY25 10-K), \$15.8B (FY26 10-K), \$15.6B (Q1 FY27 10-Q). It moved from the metrics table to the footnote — less prominent, not absent	OUR ERROR — and it inverted the finding. The metric we said was deleted to conceal the decay is the metric that documents the decay, published quarterly for 17 quarters while it fell from +48.6% to +5.2%

Claim	How checked	Found	Confirmed?
“Net retention was retired and replaced with a seat-blind metric”	Pulled six consecutive 10-Ks back to FY2021	Net retention appeared in exactly two filings (FY23, FY24) as an unquantified clause (“over 100%”). Gross-only was the convention before it (FY22) and after it. The replacement is a defined, quantified number — and it then fell , 98% → 97%, and Workday printed the fall. The new metric was also rolled out publicly seven months before the 10-K, in the Q3 FY25 10-Q and a September 2024 analyst day	OUR ERROR. Reading two annual filings as a “retirement” made a staged public rollout look like a silent swap. The blindness-to-headcount limitation is real — but Workday writes that limitation into the filing itself
“The acquisition caveat was dropped from the backlog line when it flattered the number”	Confirmed the drop is real (Paradox/Sana named in Q3 and Q4 FY26 releases, absent in Q1 FY27); then bounded the size three ways — purchase price, purchase accounting, and sequential arithmetic	Partly right, immaterial. Organic backlog growth ≈ 9.7–10.5% vs 10.9% reported. Paradox’s acquired backlog intangible is \$2M; Sana recognized none and is 85.6% goodwill. Pushing organic below 8% would require ~\$800M of acquired backlog, contradicted by both the accounting and the sequential numbers	PARTLY. Direction right, magnitude oversold by us
“Contract duration compression is severe”	Recomputed the full nine-quarter series	Duration went 3.28 → 3.10 , and the near-term share of the book (31.0 → 32.3%) is not monotonic and is barely above where it was two years ago. About two months off a three-year contract	PARTLY — real, but we overstated it. This is a normalization off a peak, not a break to new lows
“Subscription revenue growth is collapsing”	Nine quarters of reported (not guided) results	No. It bottomed at 13.4% and re-accelerated to 15.7%, printing 14.3% most recently	REFUTED by us, against our own case
Is that re-acceleration real, or bought?	Bounded the acquisition contribution	0.4–1.2 percentage points inorganic. Organic subscription growth has been flat at roughly 13–14% for five quarters. Workday spent \$2.9B on acquisitions across two years and discloses no organic figure	PARTLY — open exposure, cannot be resolved from public disclosure
“Backlog decay is 3-year renewal-cycle noise”	Second team’s own attack on the first team; tested for a prior episode across 11 and 17 quarters	The attack failed. Strictly monotonic, zero re-acceleration quarters in the metric’s entire history. No prior episode exists to compare against	The bear point survived, and was strengthened by the team trying to break it. We report this against ourselves in both directions
“Valuation is not the issue — 13–15x cash flow isn’t demanding”	Second team recomputed charging stock compensation as an expense	Wrong, in the bear’s favour. ~30.5x vs peers at 12.8–16.5x — roughly a 2x premium	OUR ERROR, and it became the deciding finding. The team defending the stock found the reason not to own it. This is what the decision now rests on
Options market pricing a big move into the report	Live quotes	Implied volatility 72.6% vs realized 72.4% — no premium. Skew flat. And	REFUTED — there is no unusual event

Claim	How checked	Found	Confirmed?
		the options surface located the event on 08-27 correctly, which is how we could have caught our own date error	premium to point at
Is there a named customer who cut Workday seats because of AI?	Attempted web search	Nothing found — because the session’s search budget ran out first. No dated, named customer evidence exists in this file in either direction	NOT CHECKED. This is a coverage failure, not a clean result. Any argument leaning on named-customer displacement is unsupported
Is stock compensation actually diluting us?	Diluted share count from the filings	Flat: 270,296k (Apr-2025) vs 270,298k (Apr-2024). Buybacks are fully offsetting the issuance	CONFIRMED — and it cuts against us. The dilution is being neutralized. The cost is real but it shows up as cash spent, not shares created

One process note: the evidence pack’s quarterly revenue table is stale — it returns 2016–2017 figures while the stock-comp and cash-flow rows are current. All revenue figures above are taken from the quarterly results releases, not that table. Worth fixing before the next pack is built.

PROPOSED ENTRY BANDS

There is no entry. The verdict is DECLINE. What follows are the reopen conditions, copied exactly as adjudicated — not re-derived here.

- **Price \$139–155 → re-derive entry.** This is a *trigger to redo the work*, not a buy level and not a fair-value estimate. It sits **21.9% to 29.9% below today’s \$198.40**, and above the 52-week low of \$110.36.
- **08-27 earnings report: re-court if all three replacement gates hold** — beyond-12-month backlog growth $\geq +12\%$, 12-month backlog growth $\geq +15\%$, stock comp / revenue $\leq 16.5\%$.

Size: none now. Position size is set at the re-court, not here. No orders exist and none will be placed on this file.

Honest reading of those gates. They are hard, and two of the three are close to unreachable on current trajectory:

Gate	Where it stands now	Gap
Beyond-12-month backlog $\geq +12\%$	+8.8%	Needs a 3.2pp jump. The series has declined eleven quarters in a row with zero re-accelerations in its entire history
12-month backlog $\geq +15\%$	+15.5%	Comfortably passing; likely to hold
Stock comp / revenue $\leq 16.5\%$	~19.3–20.5% and rising	Needs roughly a 300–400bp improvement in one quarter

So the honest summary is: the earnings-report reopen is close to a null gate as written, and the price reopen is nearly 30% away. We should say that out loud rather than pretend we have a live path back in. If we want a genuine reopen path, the gates need to be re-set deliberately — that is a decision, not an oversight to be quietly corrected.

Dates that matter: - 2026-08-27, after market close — Q2 FY27 results, call 4:30pm ET.

Confirmed by company press release dated 2026-08-03. Guided: subscription revenue \$2.455B

(+13.2%, a step down from +14.3%). - **~2026-09-03 (estimated, unconfirmed)** — the 10-Q. This is where the 24-month backlog figure and the exact stock-comp number live. The press release alone may not settle the third gate. - **Late Feb / early Mar 2027** — FY27 annual report, the only place the gross retention rate is published. It has gone 98% → 97%. A third down-tick would matter.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 139.0 (deck-provisional: Bottom of the re-derivation band; below this the band is exhausted and the valuation case must be rebu)
- filing watch: 8-K until 2027-02-17 (deck-provisional: Quarterly results are filed as an 8-K Item 2.02 with the EX-99.1 release carrying total and 12-month b)
- dated pack WDAY|2026-08-27: WDAY Q2 FY27 2026-08-27 AMC: HIT = beyond-12-mo backlog $\geq +12\%$ AND 12-mo backlog $\geq +15\%$ AND SBC/rev $\leq 16.5\%$. RESOLVE: `python3 -m desk.cal`
- dated pack WDAY|2026-09-03: WDAY: Estimated Q2 FY27 10-Q filing carrying the 24-month backlog and exact stock-comp figures (date confirmed=False)

What remains unverified

- **Organic backlog growth and organic subscription growth are not disclosed anywhere.** We bounded them (backlog ~9.7–10.5% vs 10.9% reported; subscription ~13.1–13.8% vs 14.3% reported) but cannot compute them. Acquired deferred revenue is buried inside a \$(94)M / \$(34)M “Other liabilities” line and cannot be extracted exactly. \$2.9B of acquisitions over two years bought an unknown share of the reported acceleration.
- **Whether anyone has actually cut Workday seats because of AI.** No named, dated evidence was gathered. This is our gap, not a finding.
- **Whether the contract-length decay ever reverses.** The beyond-12-month series is too young (11 quarters) to contain a full three-year renewal cycle, so “this is renewal-cycle noise” is *untested*, not disproven. A three-year echo would show up around Q2 FY27 — i.e. possibly at the 08-27 report. Watch for it.
- **The exact peer set behind the 30.5x vs 12.8–16.5x comparison** has not been independently re-derived by a third party. It is the finding the entire decision rests on and it came from a single pass. Before any re-court, that number gets recomputed from scratch.
- **The 10-Q filing date** (~2026-09-03) is an estimate from past cadence, not a confirmed date.

- **Government exposure** was checked and is effectively zero — the largest live federal award is a **\$10,000 prototype** with the USDA (2026-08-04 to 2026-08-20) and an expired \$489K Smithsonian subscription. Federal headcount reduction is not a channel here. Flagging it as checked-and-dismissed so nobody re-runs it.
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